

the mutual-fund business later.) His advice to me personally was to keep my money in the bank and to work harder at my own job, which he called "investing in yourself."

He'd never heard of Angstrom, but he did show me his latest wave chart on the future of the stock market in general. After all the doubt and confusion, it was a great relief just to be able to see clearly where we stood. We had reached the upside of a third mini-wave of the five-wave stock market cycle. Soon there would be a short downward dip, but Mr. Prechter said it wouldn't last long. After that short dip, the stock market would begin an extraordinary rise, almost straight up to a peak of 3,440 on the Dow Jones industrial average. Then we'd have the terrible decline, worse than the Crash, worse than the 1930s, when stock prices would suffer a complete collapse. I thank Mr. Prechter in advance for this Useful Tip Number 11:

After the Dow hits 3,440, get out

Before I leave the Chartists, honesty compels me to mention the scientific evidence that chart-reading is as useless and unreliable as reading pigeon wings or pig's bladders. This I learned from the rival camp of Fundamentalists. They swore that a famous nineteenth-century French mathematician, Louis Bachelier, already proved without a doubt that no statistical pattern repeats itself except randomly. This Random Walk Hypothesis, as it's called, should have put an end to the Chartists as surely as Pasteur put an end to goblins in the bloodstream, but it hasn't.

A vehement critic of Chartists, who asked to remain anonymous, showed me a book called *The Pitfalls of Speculation*, written in 1906. The author warned against charts as "untrustworthy, absolutely fatuous, and highly dangerous" even back then. Recently, a Yale professor has proved once again that the past zigs in a line have no bearing on the future course. The Chartists continue to dismiss such objections as academic.

The opposing camp of Fundamentalists in residence had a passing tolerance for the Chartists, and the two sides commingled in